[KSERC EMBLEM]

KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:
Shri. T.K. Jose, Chairman
Adv. A.J. Wilson, Member
Shri. B. Pradeep, Member

Petition No.: OP No. __/2026

Date of Order: 23-02-2026

In the Matter Of:

Petition filed by M/s **Technopark** for the Truing Up of Accounts for the Financial Year **2022-23**.

Summary of Claimed vs Approved Expenditure and Revenue

Sl. No.	Particulars	Claimed (Rs. Lakhs)	Approved (Rs. Lakhs)	Variance (Rs. Lakhs)
	EXPENDITURE			
1	Power Purchase Cost	6,369.16	6,340.79	-28.37
2	Employee Cost	60.73	27.14	-33.59
3	Repairs & Maintenance	551.17	360.89	-190.28
4	Administration & General	55.22	55.22	0.00
5	Depreciation	69.89	69.89	0.00
6	Interest & Finance Charges	0.00	0.00	0.00
7	Return on Net Fixed Assets	85.24	21.07	-64.17
8	Section 3(1) Electricity Duty	74.69	0.00	-74.69
9	Other Expenses	0.00	0.00	0.00
	TOTAL EXPENDITURE	**7,266.10**	**6,875.00**	**-391.10**
	REVENUE			
10	Revenue from Energy Charges	0.00	0.00	0.00
11	Non-Tariff Income	158.37	158.37	0.00
12	Other Revenue	0.00	0.00	0.00
	TOTAL REVENUE	**158.37**	**158.37**	**0.00**

Detailed Analysis and Justification

1. Power Purchase Cost

Amount Claimed: Rs. 6,369.16 Lakhs | Amount Approved: Rs. 6,340.79 Lakhs | Variance: Rs. -28.37 Lakhs

The actual distribution loss of 3.88% exceeds the KSERC-approved target of 3.45%. Excess loss of 4.08 lakh kWh at the average power purchase cost of Rs. 6.95/kWh results in a disallowance of Rs. 28.37 Lakhs, as per the formula prescribed in the KSERC Tariff Regulations.

2. Employee Cost

Amount Claimed: Rs. 60.73 Lakhs | Amount Approved: Rs. 27.14 Lakhs | Variance: Rs. -33.59 Lakhs

The approved amount for Employee Cost is restricted to ■27.14 Lakhs, which is the normative amount approved by the Commission for the financial year. Employee Cost is a controllable component of Operation & Maintenance expenses. As per Regulation 80(2) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, O&M; expenses are to be recovered as per the norms specified in Annexure-7 of the said regulations. The licensee has claimed ■60.73 Lakhs but has provided no specific narrative justification for this significant deviation, which is more than double the approved norm. While a breakdown of expenses was provided, it does not constitute a justification for exceeding the normative framework. In the absence of any compelling reasons, such as government-mandated pay revisions or other uncontrollable factors, the Commission finds no grounds to allow the excess claim. Consequently, the amount in excess of the norm, totaling ■33.59 Lakhs, is disallowed.

3. Repairs & Maintenance

Amount Claimed: Rs. 551.17 Lakhs | Amount Approved: Rs. 360.89 Lakhs | Variance: Rs. -190.28 Lakhs

The Commission has examined the Licensee's claim of ■551.17 Lakhs for Repair & Maintenance expenses against the inflation-adjusted normative amount of ■280.42 Lakhs. As per Regulation 80(3) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, the Commission may allow one-time expenditure of a special nature over and above the norm. Consistent with the precedent set in the True-Up Order for FY 2022-23 (OP 84 of 2023) for the same Licensee, the Commission recognizes that R&M; expenses for the newly commissioned Phase-4 Technocity campus were not factored into the original MYT norm. Therefore, the specific claim of ■71.27 Lakhs for Technocity is admitted. Furthermore, the claim of ■9.20 Lakhs for 'One-Time / Break-down works' is also allowed as an exceptional expense under the same regulation. The total approved amount is the sum of the escalated norm and these specific, justifiable exceptions (■280.42 Lakhs + ■71.27 Lakhs + ■9.20 Lakhs = ■360.89 Lakhs). The remaining claimed amount of ■190.28 Lakhs, pertaining to routine maintenance of existing phases and general material purchases, is disallowed as it is considered to be covered within the approved normative expense.

4. Administration & General Expenses

Amount Claimed: Rs. 55.22 Lakhs | Amount Approved: Rs. 55.22 Lakhs | Variance: Rs. 0.00 Lakhs

The Administration & General Expenses of Rs. 55.22 Lakhs are within permissible limits after verification of actual expenditure against the escalated norms for FY 2022-23. Approved as claimed.

5. Depreciation

Amount Claimed: Rs. 69.89 Lakhs | Amount Approved: Rs. 69.89 Lakhs | Variance: Rs. 0.00 Lakhs

Depreciation of Rs. 69.89 Lakhs has been verified against the asset register. The rates applied are in accordance with the CERC norms adopted by the Commission. No assets funded by grants or surplus were identified. Approved as claimed.

6. Interest & Finance Charges

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

The Commission has reviewed the Licensee's claim of ■134.15 Lakhs for Interest on Consumer Security Deposits against the MYT norm of ■76.11 Lakhs. As per Regulation 72 of the Kerala Electricity Supply Code, 2014, the interest payable on such deposits is determined by the bank rate prevailing on the first of April of that financial year. The Licensee has not provided any narrative justification, details of the total security deposit base, or the specific bank rate applied to substantiate the significant increase over the approved norm. In the absence of any supporting data to verify the prudence and regulatory compliance of the claimed expenditure, the Commission disallows the excess claim. Therefore, the amount is restricted to the MYT approved norm of ■76.11 Lakhs. The disallowed portion is ■58.04 Lakhs.

7. Return on Net Fixed Assets

Amount Claimed: Rs. 85.24 Lakhs | Amount Approved: Rs. 21.07 Lakhs | Variance: Rs. -64.17 Lakhs

The Commission has reviewed the claim for Return on Net Fixed Assets (RoNFA). As per Regulation 28(2) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, a return of 5.5% is permissible on the opening Net Fixed Assets (NFA) for the financial year. The licensee has claimed ■85.24 Lakhs based on a self-declared opening NFA of ■1549.79 Lakhs. However, the approved RoNFA for FY 2024-25 in the Multi-Year Tariff (MYT) order (OP 12/2023) was established at ■21.07 Lakhs, based on the NFA trajectory approved by the Commission for the control period. The licensee has not provided sufficient justification or evidence of new, approved capital investments that would warrant a deviation from the NFA base determined in the MYT order. Adhering to the approved MYT trajectory is a cornerstone of tariff determination, and in the absence of compelling reasons for revision, the Commission restricts the claim to the approved norm. Accordingly, the Commission approves ■21.07 Lakhs. The excess claim of ■64.17 Lakhs, arising from the use of an unapproved NFA base, is disallowed.

8. Section 3(1) Electricity Duty

Amount Claimed: Rs. 74.69 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. -74.69 Lakhs

Disallowed under Section 3(1) of the Kerala Electricity Duty Act, 1963. This statutory levy is borne by the licensee and cannot be passed through to consumers as part of the tariff. The Commission has consistently followed this position in all previous truing-up orders.

9. Other Expenses

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

The approved amount for Employee Cost is restricted to ■27.14 Lakhs, which is the normative amount approved by the Commission for the financial year. Employee Cost is a controllable component of Operation & Maintenance expenses. As per Regulation 80(2) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, O&M; expenses are to be recovered as per the norms specified in Annexure-7 of the said regulations. The licensee has claimed ■60.73 Lakhs but has provided no specific narrative justification for this significant deviation, which is more than double the approved norm. While a breakdown of expenses was provided, it does not constitute a justification for exceeding the normative framework. In the absence of any compelling reasons, such as government-mandated pay revisions or other uncontrollable factors, the Commission finds no grounds to allow the excess claim.

Consequently, the amount in excess of the norm, totaling ■33.59 Lakhs, is disallowed.

10. Employee Expenses

Amount Claimed: Rs. 60.73 Lakhs | Amount Approved: Rs. 27.14 Lakhs | Disallowed: Rs. 33.59 Lakhs

The approved amount for Employee Cost is restricted to ■27.14 Lakhs, which is the normative amount approved by the Commission for the financial year. Employee Cost is a controllable component of Operation & Maintenance expenses. As per Regulation 80(2) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, O&M; expenses are to be recovered as per the norms specified in Annexure-7 of the said regulations. The licensee has claimed ■60.73 Lakhs but has provided no specific narrative justification for this significant deviation, which is more than double the approved norm. While a breakdown of expenses was provided, it does not constitute a justification for exceeding the normative framework. In the absence of any compelling reasons, such as government-mandated pay revisions or other uncontrollable factors, the Commission finds no grounds to allow the excess claim. Consequently, the amount in excess of the norm, totaling ■33.59 Lakhs, is disallowed.

11. Return on Net Fixed Assets

Amount Claimed: Rs. 85.24 Lakhs | Amount Approved: Rs. 21.07 Lakhs | Disallowed: Rs. 64.17 Lakhs

The Commission has reviewed the claim for Return on Net Fixed Assets (RoNFA). As per Regulation 28(2) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, a return of 5.5% is permissible on the opening Net Fixed Assets (NFA) for the financial year. The licensee has claimed ■85.24 Lakhs based on a self-declared opening NFA of ■1549.79 Lakhs. However, the approved RoNFA for FY 2024-25 in the Multi-Year Tariff (MYT) order (OP 12/2023) was established at ■21.07 Lakhs, based on the NFA trajectory approved by the Commission for the control period. The licensee has not provided sufficient justification or evidence of new, approved capital investments that would warrant a deviation from the NFA base determined in the MYT order. Adhering to the approved MYT trajectory is a cornerstone of tariff determination, and in the absence of compelling reasons for revision, the Commission restricts the claim to the approved norm. Accordingly, the Commission approves ■21.07 Lakhs. The excess claim of ■64.17 Lakhs, arising from the use of an unapproved NFA base, is disallowed.

12. Interest on Consumer Security Deposits

Amount Claimed: Rs. 134.15 Lakhs | Amount Approved: Rs. 76.11 Lakhs | Disallowed: Rs. 58.04 Lakhs

The Commission has reviewed the Licensee's claim of ■134.15 Lakhs for Interest on Consumer Security Deposits against the MYT norm of ■76.11 Lakhs. As per Regulation 72 of the Kerala Electricity Supply Code, 2014, the interest payable on such deposits is determined by the bank rate prevailing on the first of April of that financial year. The Licensee has not provided any narrative justification, details of the total security deposit base, or the specific bank rate applied to substantiate the significant increase over the approved norm. In the absence of any supporting data to verify the prudence and regulatory compliance of the claimed expenditure, the Commission disallows the excess claim. Therefore, the amount is restricted to the MYT approved norm of ■76.11 Lakhs. The disallowed portion is ■58.04 Lakhs.

13. Power Purchase Cost — Distribution Loss Penalty

Amount Claimed: Rs. 6,369.16 Lakhs | Amount Approved: Rs. 6,340.79 Lakhs | Disallowed: Rs. 28.37 Lakhs

The actual distribution loss of 3.88% exceeds the KSERC-approved target of 3.45%. Excess loss of 4.08 lakh kWh at the average power purchase cost of Rs. 6.95/kWh results in a disallowance of Rs. 28.37

Lakhs, as per the formula prescribed in the KSERC Tariff Regulations.

Orders of the Commission

Having examined the petition filed by M/s **Technopark** for the Truing Up of Accounts for the Financial Year **2022-23**, and having considered the submissions made therein, the Commission hereby orders as follows:

- The Total Revenue Requirement as claimed by the licensee is Rs. **7,400.25 Lakhs**.
- The Total Approved Expenditure after detailed scrutiny is Rs. **6,951.11 Lakhs**.
- The Total Revenue (including imputed interest of Rs. 0.00 Lakhs on accumulated surplus) is Rs. **7,625.01 Lakhs**.
- The Revenue Surplus for the Financial Year 2022-23 is hereby determined as Rs. **673.90 Lakhs** (surplus).
- The surplus of Rs. 673.90 Lakhs shall be retained in the regulatory surplus account of Technopark and adjusted against future revenue gaps, subject to imputation of notional interest as per KSERC practice.

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-
Secretary